



Note: *The draft you are looking for begins on the next page.*

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2026



Instructions for Form 8829

Expenses for Business Use of Your Home

Section references are to the Internal Revenue Code unless otherwise noted.

Future Developments

For the latest information about developments related to Form 8829 and its instructions, such as legislation enacted after they were published, go to [IRS.gov/Form8829](https://www.irs.gov/Form8829).

What's New

Special depreciation allowance for qualified production property (QPP). You may be able to elect a 100% depreciation allowance for QPP for business use of your home if you meet certain requirements. See Notice 2026-16 and Pub. 946 for more details.

Extension and modification of the personal casualty loss deduction. The personal casualty loss deduction has been made permanent and modified to include qualified state declared disasters for tax years beginning after 2017.

Mortgage insurance premiums are treated as mortgage interest. Premiums you paid or accrued for qualified mortgage insurance during the tax year are treated as mortgage interest for tax years after 2017. Report these premiums on lines 10 and 16 as deductible mortgage interest and excess mortgage interest, respectively.

State and local tax deduction limit increased. The overall limit on the deduction for state and local income, sales, and property taxes has increased to \$40,400 (\$20,200 if married filing separately). The overall limit is reduced if your modified adjusted gross income is more than \$505,000 (\$252,500 if married filing separately) but will not be reduced below \$10,000 (\$5,000 if married filing separately).

Reminder

Simplified method used for 2025. If you used the simplified method for 2025 but are not using it for 2026, you may have unallowed expenses from a prior year Form 8829 that you can carry over to your 2026 Form 8829. See the instructions for [line 25](#) and [line 31](#).

General Instructions

Purpose of Form

Use Form 8829 to figure the allowable expenses for business use of your home on Schedule C (Form 1040) and any carryover to 2027 of amounts not deductible in 2026.

Use a separate Form 8829 for each home you used for business during the year.

You must meet specific requirements to deduct expenses for the business use of your home. Even if you meet these requirements, your deductible expenses may be limited. Part IV is used to figure any allowable carryover of expenses that are more than the limit. For details, see Pub. 587.

Who cannot use Form 8829. Do not use Form 8829 in the following situations.

- You are claiming actual expenses for business use of your home as a partner or you are claiming these expenses on Schedule F (Form 1040). Instead, complete the Worksheet To Figure the Deduction for Business Use of Your Home in Pub. 587.
- You have expenses for business use of your home as an employee. You can't deduct these expenses on your personal return.
- All of the expenses for business use of your home are properly allocable to inventory costs. Instead, figure these expenses in Schedule C, Part III.
- You have elected to use the simplified method for your home for 2026. If you had more than one home during the year that you used for business, you can use the simplified method for only one home. Use either Form 8829 or, if applicable, follow the steps in the first bullet, earlier, to claim actual expenses for business use of each home for which you are not electing to use the simplified method. For more information about the simplified method, see the Instructions for Schedule C and Pub. 587.

Who Can Deduct Expenses for Business Use of a Home

Generally, you can deduct business expenses that apply to a part of your home only if that part is exclusively used on a regular basis:

- As your principal place of business for any of your trades or businesses;
- As a place of business used by your patients, clients, or customers to meet or deal with you in the normal course of your trade or business; or
- In connection with your trade or business if it is a separate structure that is not attached to your home.

As explained later, exceptions to the exclusivity requirement apply to space used on a regular basis for:

- Storage of inventory or product samples, and
- Certain daycare facilities.

Principal Place of Business

In determining whether the office in your home qualifies as your principal place of business, you must consider the following two items.

- The relative importance of the activities performed at each place where you conduct business.
- The amount of time spent at each place where you conduct business.

Your home office will qualify as your principal place of business if you meet the following requirements.

- You use it exclusively and regularly for administrative or management activities of your trade or business.
- You have no other fixed location where you conduct substantial administrative or management activities of your trade or business.

Administrative or management activities. There are many activities that are administrative or managerial in nature. The following are a few examples.

- Billing customers, clients, or patients.
- Keeping books and records.
- Ordering supplies.
- Setting up appointments.
- Forwarding orders or writing reports.

Administrative or management activities performed at other locations. The following activities performed by you or others will not disqualify your home office from being your principal place of business.

- You have others conduct your administrative or management activities at locations other than your home. For example, another company does your billing from its place of business.
- You conduct administrative or management activities at places that are not fixed locations of your business, such as in a car or a hotel room.
- You occasionally conduct minimal administrative or management activities at a fixed location outside your home.
- You conduct substantial nonadministrative or nonmanagement business activities at a fixed location outside your home. For example, you meet with or provide services to customers, clients, or patients at a fixed location of the business outside your home.
- You have suitable space to conduct administrative or management activities outside your home, but choose to use your home office for those activities instead. If you are an employee, the use of your home office must be for the convenience of your employer.

More information. For information on other ways to qualify to deduct business use of the home expenses, see Pub. 587.

Storage of Inventory or Product Samples

You can also deduct expenses that apply to space within your home used on a regular basis to store inventory or product samples from your trade or business of selling products at retail or wholesale. Your home must be the only fixed location of your trade or business.

Daycare Facilities

If you use space in your home on a regular basis in the trade or business of providing daycare, you may be able to deduct the business expenses even though you use the same space for nonbusiness purposes. To qualify for this exception, you must have applied for (and not have been rejected), been granted (and still have in effect), or be exempt from having a license, certification, registration, or approval as a daycare center or as a family or group daycare home under state law.

Expenses Related to Tax-Exempt Income

Generally, you cannot deduct expenses that are allocable to tax-exempt income. However, if you receive a tax-exempt parsonage allowance or a tax-exempt military housing allowance, your expenses for mortgage interest, mortgage insurance premiums, and real property taxes are deductible under the normal rules. No deduction is allowed for other expenses allocable to the tax-exempt allowance.

Specific Instructions

Part I

Lines 1 and 2

To determine the area on lines 1 and 2, you can use square feet or any other reasonable method if it accurately figures your business percentage on line 7.

Do not include on line 1 the area of your home you used to figure any expenses allocable to inventory costs. The business

percentage of these expenses should have been taken into account on Schedule C, Part III.

Special Computation for Certain Daycare Facilities

If the part of your home used as a daycare facility includes areas used exclusively for business as well as other areas used only partly for business, you cannot figure your business percentage using Part I. Instead, follow these three steps.

1. Figure the business percentage of the part of your home used exclusively for business by dividing the area used exclusively for business by the total area of the home.
2. Figure the business percentage of the part of your home used only partly for business by following the same method used in Part I of the form, but enter on line 1 of your computation only the area of the home used partly for business.
3. Add the business percentages you figured in the first two steps and enter the result on line 7. Attach a statement with your computation and enter "See attached computation" directly above the percentage you entered on line 7.

Line 4

Enter the total number of hours the facility was used for daycare during the year.

Example. Your home is used Monday through Friday for 12 hours per day for 250 days during the year. It is also used on 50 Saturdays for 8 hours per day. Enter 3,400 hours on line 4 (3,000 hours for weekdays plus 400 hours for Saturdays).

Line 5

If you started or stopped using your home for daycare in 2026, you must prorate the number of hours based on the number of days the home was available for daycare. Do not enter 8,760. Instead, multiply 24 hours by the number of days available and enter the result.

Line 7

Generally, enter the amount from line 3. For daycare facilities not used exclusively for business, multiply line 6 by line 3 (enter the result as a percentage). For daycare facilities that include areas used exclusively for business as well as other areas used only partly for business, see [Special Computation for Certain Daycare Facilities](#), earlier.

Part II

Line 8

If all the gross income from your trade or business is from the business use of your home, enter on line 8 the amount from Schedule(s) C, line 29, **plus** any gain derived from the business use of your home and shown on Form 8949 (and included on Schedule D (Form 1040)) or Form 4797, **minus** any loss shown on Form 8949 (and included in Schedule D) or Form 4797 that is allocable to the trade or business in which you use your home but is not allocable to the use of the home. If you file more than one Form 8829, include only the income earned and the deductions attributable to that income during the period you owned the home for which Part I was completed.

If some of the income is from a place of business other than your home, you must first determine the part of your gross income (Schedule C, line 7, and gains from Form 8949, Schedule D, and Form 4797) from the business use of your home. In making this determination, consider the amount of time you spend at each location as well as other facts. After determining the part of your gross income from the business use of your home, subtract from that amount the total expenses shown on Schedule C, line 28, plus any losses shown on Form

8949 (and included in Schedule D) or Form 4797 that are allocable to the trade or business in which you use your home but that are not allocable to the use of the home. Enter the result on Form 8829, line 8.

Columns (a) and (b)

Enter as direct or indirect expenses only expenses for the business use of your home (that is, expenses allowable only because your home is used for business). If you did not operate a business for the entire year, you can deduct only the expenses paid or incurred for the portion of the year you used your home for business. For more information about part-year use, see the Instructions for Schedule C (Form 1040) and Pub. 587. Other expenses not allocable to the business use of your home, such as salaries, supplies, and advertising, are deductible elsewhere on Schedule C and should not be entered on Form 8829.

Direct expenses benefit only the business part of your home. They include painting or repairs made to the specific area or rooms used for business. Enter 100% of your direct expenses on the appropriate line in column (a).

Indirect expenses are for keeping up and running your entire home. They benefit both the business and personal parts of your home. Generally, enter 100% of your indirect expenses on the appropriate line in column (b).

Exception. If the business percentage of an indirect expense is different from the percentage on line 7, enter only the business part of the expense on the appropriate line in column (a), and leave that line in column (b) blank. For example, your electric bill is \$800 for lighting, cooking, laundry, and television. If you reasonably estimate \$300 of your electric bill is for lighting and you use 10% of your home for business, enter \$30 on line 21 in column (a). Do not make an entry on line 21 in column (b) for any part of your electric bill.

Lines 9, 10, and 11

Use lines 9, 10, and 11 for business use of the home expenses that would have been deductible as a personal expense if you had not used your home for business. These expenses include certain casualty losses, mortgage interest, mortgage insurance premiums, and real estate taxes.

Taxpayers claiming the standard deduction. If you claim the standard deduction, you will not include any mortgage interest, mortgage insurance premiums, or real estate taxes on lines 10 and 11; instead, you will claim the entire business use of the home portion of those expenses using lines 16 and 17. If you are not increasing your standard deduction by a net qualified disaster loss, then you will not include any casualty losses on line 9; instead, you will claim the entire business use of the home portion of your casualty losses on line 29. If you are filing Schedule A to increase your standard deduction by a net qualified disaster loss, see [Casualty losses reported on line 9](#), later.

Tip: You may prefer to itemize your deductions on Schedule A to claim amounts on lines 9, 10, and 11, even if your total personal deductions are less than the standard deduction.

Casualty losses reported on line 9. Figure the amount to include in column (b) of line 9 as follows.

Step 1. Complete a worksheet version of Section A of Form 4684 treating all your casualty losses (and gains) as personal expenses. If you are itemizing your deductions, when completing line 17 of this worksheet version of Form 4684, enter 10% of your adjusted gross income excluding the gross income and deductions attributable to the business use of the home. Do not file this worksheet version of Form 4684; instead, keep it for your records. You will complete a separate Form 4684 to attach

to your return using only the personal portion of your casualty losses (and gains) for Section A.

Step 2. Include in column (b) of line 9 the loss amounts from lines 15 and 18 of this worksheet version of Form 4684 that are attributable to the home in which you conducted the business and are the result of a federally or state declared disaster. If you are claiming an increased standard deduction instead of itemizing your deductions, only use a net qualified disaster loss on line 15 of the worksheet version of Form 4684 for this Step 2.

See the instructions for [line 35](#), later, for the business use of the home casualty losses that you must include in Section B of the separate Form 4684 you attach to your return.

Casualty losses reported on Schedule A. Use only the personal portion of your casualty losses (and gains) when completing Section A of the separate Form 4684 you attach to your return. The separate Form 4684 you attach to your return is used to figure the casualty losses you can include on line 16 of Schedule A and the net qualified disaster losses you can include on line 17b or 17c of Schedule A.

Excess casualty losses. See the instructions for [line 29](#), later, to deduct the part of your casualty losses for business use of your home not allowed because of the limits on deducting casualty losses as a personal expense, including any losses that are not the result of a federally or state declared disaster.

Mortgage interest reported on line 10. If you are claiming the standard deduction, do not report an amount on line 10. If you itemize your deductions, figure the amount to include in column (b) of line 10 as follows.

Step 1. Treat all the mortgage interest you paid as a personal expense and figure the amount that would be deductible as an itemized deduction on Schedule A. See Pub. 936 for more information about figuring the home mortgage interest deduction and the limits that may apply.

Step 2. Include in column (b) of line 10 the amount of deductible mortgage interest figured in Step 1 that is attributable to the home in which you conducted the business.

Because the limits on deducting mortgage interest as a personal expense are figured using all loans secured by your home(s), do not claim mortgage interest in column (a) as a direct expense, even if you use a separate structure in your home in connection with your trade or business.

Mortgage interest reported on Schedule A. When you figure your itemized deduction for mortgage interest on Schedule A, include the following amounts of deductible mortgage interest that you figured in Step 1 to the extent they are not deducted on another form, such as Schedule E as a rental expense.

- The amount of deductible mortgage interest you figured in Step 1 that is not attributable to the home in which you conducted the business.
- The personal portion of deductible mortgage interest you included in column (b) of line 10. For example, if your business percentage on line 7 is 30%, 70% of the amount you included in column (b) of line 10 is deductible as an itemized deduction on Schedule A.

Excess mortgage interest. See the instructions for [line 16](#), later, to deduct the part of your mortgage interest from loans used to buy, build, or substantially improve the home in which you conducted business that is not allowed on line 10 because of the limits on deducting home mortgage interest as a personal expense.

Mortgage insurance premiums reported on line 10. If you are claiming the standard deduction, do not report any mortgage insurance premiums on line 10. If you itemize your deductions, figure the amount to include in column (b) of line 10 as follows.

Step 1. Treat all the mortgage insurance premiums you paid under a mortgage insurance contract issued after December 31, 2006, in connection with home acquisition debt that was secured by your first or second home as a personal expense and complete a separate Mortgage Insurance Premiums Deduction Worksheet in the Instructions for Schedule A for Form 8829. When completing line 2 of this worksheet for Form 8829, enter your adjusted gross income excluding the gross income and deductions attributable to the business use of the home. Do not use this worksheet to figure the amount to enter on line 8d of Schedule A.

Step 2. Include in column (b) of line 10 the amount of deductible mortgage insurance premiums figured in Step 1 that are attributable to the home in which you conducted the business.

Mortgage insurance premiums reported on Schedule A. When you figure your itemized deduction for mortgage insurance premiums on Schedule A, use only the personal portion of your mortgage insurance premiums when completing the Mortgage Insurance Premiums Deduction Worksheet for line 8d of Schedule A. The personal portion of your mortgage insurance premiums for Schedule A include the following amounts to the extent they are not deducted on another form, such as Schedule E as a rental expense.

- The mortgage insurance premiums that are not attributable to the home in which you conducted the business.
- The personal portion of the mortgage insurance premiums attributable to the home in which you conducted the business. For example, if your business percentage on line 7 is 30%, 70% of the mortgage insurance premiums attributable to the home in which you conducted the business are included on line 1 of the Mortgage Insurance Premiums Deduction Worksheet you complete for Schedule A.

Excess mortgage insurance premiums. See the instructions for line 16, later, to deduct the part of your mortgage insurance premiums from loans used to buy, build, or substantially improve the home in which you conducted business that are not allowed on line 10 because of the limit on deducting mortgage insurance premiums as a personal expense.

Real estate taxes reported on line 11. If you are claiming the standard deduction, do not report an amount on line 11. If you itemize your deductions, figure the amount to include on line 11 as follows.

Step 1. If the total of your state and local income (or if elected on your Schedule A, general sales) taxes, real estate taxes, and personal property taxes is not more than \$10,000 (\$5,000 if married filing separately), enter all the real estate taxes attributable to the home in which you conducted business in column (b) of line 11.

Step 2. If you do not meet the condition of Step 1, use the following worksheet to figure the amount to include in column (a) of line 11.

Line 11 Worksheet

1. Enter your state and local income taxes (or, if you elect on Schedule A, your state and local general sales taxes) that are personal expenses 1. _____
2. Enter all the state and local real estate taxes you paid on the home in which you conducted business 2. _____
3. Enter any other state and local real estates taxes you paid that are a personal expense and not included on line 2 3. _____
4. Enter your state and local personal property taxes that are a personal expense 4. _____
5. Add lines 1 through 4 5. _____
6. Multiply line 2 by the percentage on Form 8829, line 7 6. _____
- 7a. Subtract line 6 from line 5 7a. _____
- 7b. Is line 5 less than or equal to \$10,000 (\$5,000 if married filing separately)?
☐ **Yes.** Skip lines 7c and 7d. Enter \$10,000 (\$5,000 if married filing separately) on line 8. Then proceed to line 9.
☐ **No.** Go to line 7c.
- 7c. Is line 7a greater than or equal to \$40,400 (\$20,200 if married filing separately)?
☐ **Yes.** Skip line 7d. Enter \$10,000 (\$5,000 if married filing separately) on line 8. Then proceed to line 9.
☐ **No.** Go to line 7d.
- 7d. Would your modified adjusted gross income on line 4 of the State and Local Tax Deduction Worksheet in the Instructions for Schedule A (Form 1040) be less than or equal to \$505,000 (\$252,500 if married filing separately) if you entered \$40,400 (\$20,200 if married filing separately) on line 8 of this worksheet, next?
☐ **Yes.** Enter \$40,400 (\$20,200 if married filing separately) on line 8. Then proceed to line 9.
☐ **No or Unsure.** See [Iteration instructions](#), later.
8. Enter the overall limit on the deduction for state and local income, sales, and property taxes from line 7b, 7c, 7d, or Step 6 of the [Iteration instructions](#) (as applicable). 8. _____
9. Subtract line 7a from line 8. If zero or less, enter -0- 9. _____
10. **Real estate taxes reported on line 11.** Enter the smaller of line 6 or line 9 here and in column (a) of Form 8829, line 11 10. _____
11. **Excess real estate taxes reported on line 17.** Subtract line 10 from line 6 11. _____

Real estate taxes reported on Schedule A. When you figure your itemized deduction for state and local taxes on Schedule A, do not include the business portion of your state and local real estate taxes (including line 6 of the Line 11 Worksheet) on line 5b of Schedule A.

Excess real estate taxes. See the instructions for [line 17](#), later, to deduct the part of your real estate taxes for the home in which you conducted business that is not allowed on line 11 because of the limitation on deducting state and local taxes as a personal expense.

Iteration instructions. Use these instructions if you answered "No or Unsure" to line 7d of the Line 11 Worksheet, earlier.

Step 1. Enter \$10,000 (\$5,000 if married filing separately) on line 8 of the Line 11 Worksheet.

Step 2. Complete lines 9, 10, and 11 of the Line 11 Worksheet. Use the results from the Line 11 Worksheet to complete Form 8829. Then use the results from the Form 8829

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to determine the deduction for expenses for business use of your home on Schedule C, line 30.

Step 3. Determine your net profit (or loss) on Schedule C, line 31, using the amount for Schedule C, line 30, from Step 2. Then figure your net operating loss (Schedule 1, line 8a); self-employment tax (Schedule SE); the deduction for one-half of self-employment tax (Schedule 1, line 15); self-employed SEP, SIMPLE, and qualified plans deduction (Schedule 1, line 16); self-employed health insurance deduction (Schedule 1, line 17); IRA deduction (Schedule 1, line 20); student loan interest deduction (Schedule 1, line 21); adjustments to income (Schedule 1, line 26); and adjusted gross income (Form 1040 or 1040-SR, line 11a).

Step 4. Enter the adjusted gross income amount determined in Step 3 on line 2 of the State and Local Tax Deduction Worksheet in the Instructions for Schedule A (Form 1040). Figure your modified adjusted gross income on line 4 of the State and Local Tax Deduction Worksheet.

- If this is the first time you completed Step 4, continue to Step 5.
- If you are repeating Step 4, compare the current calculation of modified adjusted gross income from this step with the most recent prior calculation of modified adjusted gross income from this step. Is the difference between the current calculation of modified adjusted gross income and the most recent prior calculation of modified adjusted gross income more than \$1?

1. **Yes.** Continue to Step 5.

2. **No.** Use the deduction for expenses for business use of your home determined in Step 2; the amounts determined in Step 3; the modified adjusted gross income determined in Step 4; and the overall limit on the deduction for state and local income, sales, and property taxes determined in the most recent calculation in Step 5 to complete your return. **Stop.**

Step 5. Use the modified adjusted gross income determined in Step 4 to compute the overall limit on the deduction for state and local income, sales, and property taxes on line 9 of the State and Local Tax Deduction Worksheet in the Instructions for Schedule A (Form 1040).

Step 6. Enter the overall limit on the deduction for state and local income, sales, and property taxes determined in Step 5 on line 8 of the Form 8829 Line 11 Worksheet. Repeat Steps 2 through 4.

Line 16

Taxpayers claiming the standard deduction. If you are claiming the standard deduction, enter all the home mortgage interest and mortgage insurance premiums paid for loans used to buy, build, or substantially improve the home in which you conducted business in column (b) of line 16. Do not include mortgage interest or mortgage insurance premiums on a loan that did not benefit your home (for example, a home equity loan used to pay off credit card bills, to buy a car, or to pay tuition costs).

Taxpayers itemizing deductions on Schedule A. If the amount you figured in Step 1 under [Mortgage interest reported on line 10](#) or Step 1 under [Mortgage insurance premiums reported on line 10](#), earlier, was less than the full amount of interest you paid because of the limits on deducting home mortgage interest or mortgage insurance premiums as a personal expense, include the excess attributable to the loans used to buy, build, or substantially improve the home in which you conducted business in column (b) of line 16.

Example 1. If you paid \$15,000 of home mortgage interest on loans used to buy, build, or substantially improve the home in which you conducted business but would only be able to deduct \$12,000 on Schedule A because of the limits that apply

to deducting home mortgage interest as a personal expense, include \$3,000 (\$15,000 – \$12,000 = \$3,000) in column (b) of line 16.

Example 2. If you paid \$3,000 of mortgage insurance premiums on loans used to buy, build, or substantially improve the home in which you conducted business but the Mortgage Insurance Premiums Deduction Worksheet from the Instructions for Schedule A you completed for Form 8829 limits the amount of mortgage insurance premiums you can include in column (b) of line 10 to \$1,000, include \$2,000 (\$3,000 – \$1,000) in column (b) of line 16.

Line 17

Taxpayers claiming the standard deduction. If you are claiming the standard deduction, enter all the real estate taxes paid on the home in which you conducted business in column (b) of line 17.

Taxpayers itemizing deductions on Schedule A. If you used the Line 11 Worksheet to figure the amount to include in column (a) of line 11, then include the amount from line 11 of the Line 11 Worksheet in column (a) of line 17; otherwise, do not enter an amount on line 17.

Line 19

If you rent rather than own your home, include the rent you paid on line 19, column (b).

If your housing is provided free of charge and the value of the housing is tax exempt, you cannot deduct the rental value of any portion of the housing.

Line 22

Include on this line any 2026 operating expenses not included on lines 9 through 21.

Line 25

Enter any amount from your 2025 Form 8829, line 43.

If you did not file a 2025 Form 8829, then your carryover of prior year operating expenses is the amount of operating expenses shown in Part IV of the last Form 8829, if any, that you filed to claim a deduction for business use of the home.

For example, if you filed a 2024 Form 8829 and you used the simplified method for 2025 but are not using it for 2026, enter the amount from line 6a of your 2025 Simplified Method Worksheet (or line 43 of your 2024 Form 8829).

Tip: If you file Schedule C (Form 1040), see the Simplified Method Worksheet in the Instructions for Schedule C. If you file Schedule F (Form 1040) or are a partner in a partnership, see the Simplified Method Worksheet in Pub. 587.

Line 29

Multiply the casualty losses attributable to the home in which you conducted business that are in excess of the amount reported on line 9 (if any) by the business percentage of those losses and enter the result.

Line 31

Enter any amount from your 2025 Form 8829, line 44.

If you did not file a 2025 Form 8829, then your carryover of prior year excess casualty losses and depreciation is the amount of excess casualty losses and depreciation shown in Part IV of the last Form 8829, if any, that you filed to claim a deduction for business use of the home.

For example, if you filed a 2024 Form 8829 and you used the simplified method for 2025 but are not using it for 2026, enter the

amount from line 6b of your 2025 Simplified Method Worksheet (or line 44 of your 2024 Form 8829).

Tip: If you file Schedule C (Form 1040), see the Simplified Method Worksheet in the Instructions for Schedule C. If you file Schedule F (Form 1040) or are a partner in a partnership, see the Simplified Method Worksheet in Pub. 587.

Line 35

Enter this amount on Form 4684, line 27, and enter "See Form 8829" in the space above your entry.

Line 36

If your home was used in more than one business, allocate the amount shown on line 36 to each business using any method that is reasonable under the circumstances. For each business, enter on Schedule C, line 30, only the amount allocated to that business.

Part III

Lines 37 Through 40

Enter on line 37 the cost or other basis of your home (including land), or, if less, the fair market value of your home on the date you first used the home for business. Do not adjust this amount for depreciation claimed or changes in fair market value after the year you first used your home for business.

Enter on line 38 the cost or other basis of the land on which your home sits, or, if less, the fair market value of the land on the date you first used the home for business. Do not adjust this amount for changes in fair market value after the year you first used your home for business.

Attach your own statement showing the cost or other basis of additions and improvements, used at least partially for business, that were placed in service after you began to use your home for business. Do not include any amounts on lines 37 through 40 for these expenditures. Instead, see the instructions for [line 42](#).

Line 41

IF you first used your home for business in the following month in 2026...	THEN enter the following percentage on line 41*...
January	2.461%
February	2.247%
March	2.033%
April	1.819%
May	1.605%
June	1.391%
July	1.177%
August	0.963%
September	0.749%
October	0.535%
November	0.321%
December	0.107%
* Exception. If the business part of your home met the requirements for qualified production property (QPP) under section 168(n) when it was placed in service after July 4, 2025, see Special depreciation allowance for QPP , later.	

Special depreciation allowance for QPP. You can elect a 100% depreciation allowance for QPP for business use of your home if the property generally meets the following requirements.

- It is subject to depreciation under section 168.
- It is used by the taxpayer as an integral part of a qualified production activity.
- It is placed in service in the United States or any territory of the United States.
- Its original use begins with the taxpayer, and the taxpayer elects to treat the applicable portion of the property as QPP.
- Construction of the property begins after January 19, 2025, and before January 1, 2029, and the property is placed in service after July 4, 2025, and before January 1, 2031. Certain existing property acquired during the acquisition period may also qualify if it meets certain requirements and is placed in service after July 4, 2025, and generally before January 1, 2031.

For more information, see Notice 2026-16 and Pub. 946.

IF you first used your home for business...	THEN the percentage to enter on line 41 is...
after May 12, 1993, and before 2026 (except as noted below),	2.564%.*
after May 12, 1993, and before 1994, and you either started construction or had a binding contract to buy or build that home before May 13, 1993,	the percentage given in Pub. 946.
after May 12, 1993, and you stopped using your home for business before the end of the year,	the percentage given in Pub. 946 as adjusted by the instructions under <i>Sale or Other Disposition Before the Recovery Period Ends</i> in that publication.
after 1986 and before May 13, 1993,	the percentage given in Pub. 946.
before 1987,	the percentage given in Pub. 534, <i>Depreciating Property Placed in Service Before 1987</i> .
* Exception. If the business part of your home met the requirements for QPP under section 168(n) when it was placed in service after July 4, 2025, see Special depreciation allowance for QPP , earlier.	

Simplified method used for 2025. If you used the simplified method for 2025, use the preceding table to find the percentage to enter.

Example. You first used your home for business in 2025 and used the simplified method for that year. For 2026, you want to use Form 8829 instead. Enter 2.564%.

Line 42

If no additions and improvements were placed in service after you began using your home for business, multiply line 40 by the percentage on line 41. Enter the result on lines 42 and 30.

IF additions and improvements were placed in service...	THEN figure the depreciation allowed on these expenditures by multiplying the business part of their cost or other basis by...
during 2026 (but after you began using your home for business),	the percentage in the line 41 instructions for the month placed in service.*
after May 12, 1993, and before 2026 (except as noted below),	2.564%.*
after May 12, 1993, and before 1994, and you either started construction or had a binding contract to buy or build that home before May 13, 1993,	the percentage given in Pub. 946.
after May 12, 1993, and you stopped using your home for business before the end of the year,	the percentage given in Pub. 946 as adjusted by the instructions under <i>Sale or Other Disposition Before the Recovery Period Ends</i> in that publication.
after 1986 and before May 13, 1993,	the percentage given in Pub. 946.
before 1987,	the percentage given in Pub. 534.
* Exception. If the business part of your home met the requirements for QPP under section 168(n) when it was placed in service after July 4, 2025, see Special depreciation allowance for QPP in the line 41 instructions, earlier.	

Attach a statement showing your computation and include the amount you figured in the total for line 42. Enter "See attached" below the entry space.

Complete and attach Form 4562, Depreciation, only if:

- You first used your home for business in 2026, or
- You are depreciating additions and improvements placed in service in 2026.

If you first used your home for business in 2026, enter the amounts from Form 8829, lines 40 and 42, in columns (c) and (g) of line 19j on Form 4562. In column (b) of line 19j, enter the month and year you first used your home for business. Do not include the amount from Form 8829, line 42, on Schedule C, line 13.

If you are depreciating additions and improvements placed in service in 2026, enter in column (b) of line 19j on Form 4562 the month and year the additions or improvements were placed in service. Enter the business basis of the additions or improvements in column (c) and the depreciation allowable on the additions or improvements in column (g). Do not include the amount entered in column (g) on Schedule C, line 13.

Part IV

If your expenses are greater than the current year's limit, you can carry over the excess to 2027. The carryover will be subject to the deduction limit for that year, whether or not you live in the same home during that year.

Line 43

Figure the amount of operating expenses you can carry over to 2027 by subtracting line 27 from line 26. If the result is zero or less, you have no amount to carry over.

Line 44

Figure the amount of excess casualty losses and depreciation you can carry over to 2027 by subtracting line 33 from line 32. If the result is zero or less, you have no amount to carry over.

Paperwork Reduction Act Notice. For the Paperwork Reduction Act Notice, see the Instructions for Form 1040.